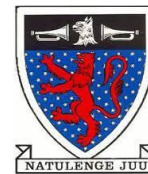


STAREHE BOYS' 2025 PREDICTION



Kenya Certificate of Secondary Education

ANTICIPATED KCSE EXAM



565/2

Business Studies

Paper 2

Time: 2½ Hours

NAME.....

SCHOOL..... SIGN.....

INDEX NO..... ADM NO.....

Kenya Certificate of Secondary Education.

INSTRUCTIONS TO CANDIDATES:

1. *This paper consists of six questions*
2. *Answer any **five** questions.*
3. *Write your answers in the answer booklet provided*
4. *All questions carry equal marks*

FOR EXAMINER'S USE ONLY

QUESTION	1	2	3	4	5	6	TOTAL
MARKS							

For Marking Schemes Contact 0746 222 000 / 0742 999 000

Answer Any Five Questions

1. (a) Explain **five** benefits that may accrue to a firm that adopts division of labour. **(10 marks)**
- (b) Discuss **five** problems that a country may face when measuring her national income using output approach. **(10 marks)**
2. (a) Explain **five** measures that a business may take to safeguard and control its property. **(10 marks)**
- (b) Discuss five factors that a manufacturer should consider when choosing a distribution channel. **(10 marks)**
3. (a) Describe **five** circumstances under which a bank may dishonor a cheque. **(10 marks)**
- (b) On 1st January, 2012 Chumo Traders had the following balances:
- Cash 15,000
- Bank 40,000
- During the month, the following transactions took place.
- Jan 2 Maritim, a debtor, settled his account of sh.10,000 by a cheque of sh.8,000.
- 5 Deposited sh.4,000 into the business bank account from the cash till.
- 9 Paid wages by cash sh.5,000
- 14 Sold goods in cash sh.14,000
- 17 Purchased office equipment worth sh.3,000, paying by cheque.
- 18 Settled Korir's account, sh.10,000 by cash after being allowed a discount of 5%.
- 21 Received sh.6,000 cash from Kolongei, a debtor.
- 23 Tangus, a debtor settled his sh.4000 account by cheque having been allowed a discount of 20%.

27 Deposited sh.17,000 in the business bank account from private sources.

30 Banked all the cash in the till except sh.1000.

Prepare a three column cash book for Chumo Traders duly balanced at the end of the month.

(10marks)

4. (a) Outline **five** reasons why a wholesaler may decide to construct its own warehouse instead of hiring storage space. **(10 marks)**

(b) Describe **five** features of human wants. **(10 marks)**

5. (a) Small scale businesses in Kenya has been struggling over the years, explain **five** reasons behind this. **(10 marks)**

(b) Explain **five** factors to consider when choosing a method of product promotion. **(10 marks)**

6. (a) Describe **five** steps to be followed when obtaining an insurance policy. **(10 marks)**

(b) The following information relates to Jambo Entreprises for the year ended 31st December 2022.

<u>Item</u>	<u>Shs</u>
Stock on 1 st Jan 2022	75,000
Furniture	2,000,000
Motor vehicles	4,000,000
Purchases	1,500,000
Carriage on Purchases	50,000
Sales	3,000,000

Carriage on Sales	15,000
Discount received	25,000
Debtors	400,000
Creditors	635,000
Discount allowed	10,000
Lighting & Heating	15,000
Water	5,000
Rent and rates	30,000
Repairs	50,000
Salaries	100,000
General expenses	70,000
Cash in hand	90,000
Cash at Bank	450,000
Capital	5,230,000
Commissions paid	30,000

Additional information:

Stock on 31st Dec 2022 was 105,000.

Prepare;

- (i) Trading Profit & Loss account for the year ended 31st Dec 2022.
- (ii) Balance sheet as at 31st December 2022.